

07 Jul 2026 11:01:33 ET | 10 pages

IEIT SYSTEMS (000977.SZ)

2Q26 Guidance Strong Beat Likely on Memory Price Hike

CITI'S TAKE

IEIT reported 2Q26 NP guidance of Rmb2.0-2.5bn (+229%-312% QoQ), largely ahead of CitiE of Rmb1.3bn, as well as bullish market expectations of ~Rmb1bn in terms of our conversation with investors. We believe IEIT likely benefited from memory price hike in 2Q26 as the company had ~Rmb44bn inventory as of 1Q26 vs. 1Q26 COGS of 33bn. Meanwhile, we also note that there could be some superpod shipment in 2Q, but we expect that the contribution could be limited. We wait for full results to be released.

Neutral

Price (07 Jul 26 15:00)	Rmb71.060
Target price	Rmb75.000
Expected share price return	5.5%
Expected dividend yield	0.3%
Expected total return	5.8%
Market Cap	Rmb104,350M US\$15,415M

Karen Huang^{AC}

+852-2501-2755
karen.xw.huang@citi.com

Kyna Wong

+852-2868-7820
kyna.wong@citi.com

Kevin Chen

+852-2501-2125
kevin.y.chen@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Bull/Bear: IEIT SYSTEMS

Rmb **99.000**
▲ 39% Upside

Rmb **75.000**
▲ 5.5% Upside

Rmb **36.000**
▼ 49% Downside



Spread 89pp
Current Price and expected returns (upside/downside) as of 07 Jul 2026



BULL Assumptions

- China AI hardware purchase budget beyond our expectation



BASE Assumptions

- China AI hardware purchase budget in-line with our expectation
- IEIT has 50% share allocation in China AI server markets



BEAR Assumptions

- China AI hardware purchase budget below our expectation

IEIT SYSTEMS

Valuation

Our target price for IEIT Systems shares of Rmb75.0 is based on 25x 2027E P/E, set at 3-yr average. We believe the market has fully and fairly factored in domestic AI server contribution.

Risks

Key risk factors include: 1) slower/faster-than-expected recovery in end-market demand; 2) slower/faster-than-expected adoption of AI affect internet companies' hardware purchase budget; 3) significant margin deterioration/expansion that results in lower/higher-than-expected earnings; and 4) an intensification/easing of US-China tensions in the tech space, which would mean an unstable/stable business environment. Any of these risk factors could cause the shares to deviate from our target price.

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Appendix A-1

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IEIT SYSTEMS (000977.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Karen Huang



	Date	Rating	Target Price	Closing Price
1	31-Aug-23 11:39:02	1	*46.00	39.13
2	08-Sep-24 21:03:45	*2	*34.00	31.12

	Date	Rating	Target Price	Closing Price
3	21-Feb-25 03:25:24	2	*70.00	67.75
4	25-Jun-26 13:20:30	2	*75.00	68.57

*Indicates Change

Rating/target price changes above reflect Eastern Time

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